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THE PROBLEM OF DEMAND

The economic slowdown in India has a long history of over a decade, and stems from a severe long-term crunch of consumption demand in the economy

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ILLUSTRATION BY **RAJ VERMA**

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HERE HAS BEEN much discussion in recent months on the sharp slowdown of growth in the Indian economy. India's gross domestic product (GDP) growth is lagging optimistic projections and the estimate has been revised downwards by various agencies. Inflation remains high, which indicates the continued presence of supply bottlenecks, especially in food items. While most analyses and commentaries focus on changes in such economic variables in

the short term, what they miss is that the present economic slowdown in India has a longer history of over a decade, and its sources must be located in the severe long-term crunch of consumption demand in the economy.

There is no doubt that India is a large market, but its size is drawn from its larger absolute population and not from a higher per capita income. Over the past seven decades after independence, the failure to